reared to yield good value when they are sold to the slaughterhouse. This is what is speculation or trading. You buy an asset, wait till the price increases, then sell it off in the market for a profit. This is how capital gain investing works.

On the other hand in a dairy farm the asset is also cattle. Here too the cattle are bred and reared but they are not sold to the slaughterhouse. The cattle have a long-term use; they are used to obtain a regular supply of milk.

In both cases the asset is the same but it is used differently—one for meat and the other for milk. Similarly, in the investment world some people use stocks for capital gains by trading while others use stocks for cash flow by investing long-term.

The Law of the Farm

Stock market investing is all about managing the rewards associated with the risks undertaken. Without risk there is no return. Invest you must but before that you must bear in mind the law of the farm. You reap what you sow but the crop is also subjected to the changing seasons. The seed has to endure summer, rain, winter and spring before it turns into a full-blown tree. Stock market investments also work that way. There are no short cuts. If we invest in the right stocks with the right business model and fundamentals, over the long run we are assured of optimum returns. However, to do this requires patience and we have to go through the ups and downs but it is important to stay the course. Getting carried away by the greed of quick returns ultimately destroys wealth, as it does not conform to the law of nature. Many of us forget that nature and society are one.

A Good Strategy

There is nothing wrong in speculation as such. On the contrary it is beneficial in two ways. Firstly, without speculation untested new companies like Infosys, Satyam, and in earlier times